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Applied Materials Tools Up for More Chip Demand

Spending cycle by chip makers expected to stay strong into next year

By Dan Gallagher

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Even Applied Materials **AMAT -4.29%** ▼ knows the party can't last forever. But the company doesn't see the bash ending anytime soon.

In its fiscal fourth quarter earnings report Thursday, the maker of semiconductor manufacturing gear showed revenue jumping 20% year over year to \$3.97 billion. That makes for the company's sixth straight quarter of double-digit sales growth, helped by strong prices for memory chips as well as growing demand for display production equipment. Operating income hit a record of \$1.1 billion, up 41% year over year.

Applied Materials gave an early peek into fiscal 2018. CEO Gary Dickerson said the company is "confident" in delivering "strong double-digit growth" for the year. The first quarter, ending in January, is expected to see revenue grow about 25% at the midpoint of the company's forecast, exceeding the 21% growth expected by analysts.

Chip equipment is a highly cyclical business that depends on a handful of large customers who tend to curtail their spending quickly when demand shifts. That dynamic hasn't gone away, but the largest chip makers are still working to catch up with soaring demand as well as update their manufacturing lines with the latest processes. Last month, Samsung Electronics boosted its planned capital expenditures to more than \$26 billion in semiconductor and display for this year. That compares with about \$11.4 billion spent in these areas last year, estimates Wes Twigg of

KeyBanc Capital Markets.

Applied's shares are up nearly 80% already this year. The results should help investors for whom the fear of missing out has been supplanted by the fear of staying in too long.

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Dan Gallagher is a former columnist for The Wall Street Journal's Heard on the Street, where he covered the technology and media industries. His work for the Heard column spanned the businesses of artificial intelligence, semiconductors, internet, software, hardware, advertising, streaming TV and film. Dan also wrote WSJ's AI &...

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